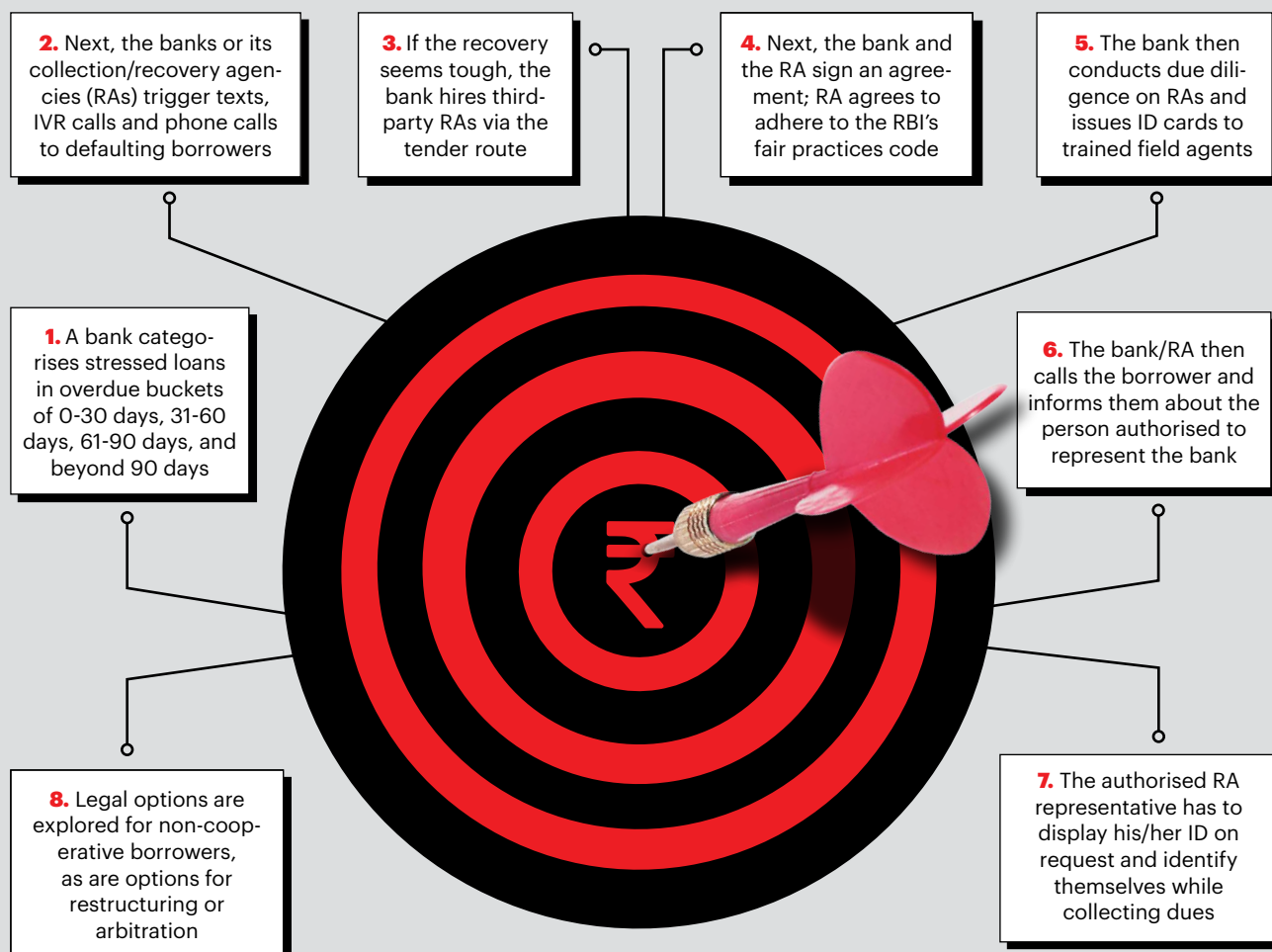


THE ROAD TO RECOVERY...

The workflow for banks to recover a loan



Source: Banks

...BUT TIGHTER RULES ARE NECESSARY

Stricter regulations for recovery agencies are the need of the hour

- | | |
|---|---|
| 1 Need for regulations in terms of who can start a recovery business, KYC and minimum capital requirement | 6 Sharing of customer data with RAs should be allowed only for wilful defaulters |
| 2 To set up an RA, there has to be minimum infrastructure, especially the technology setup | 7 Need for a centralised record of RAs that have been blacklisted or terminated by banks and NBFCs |
| 3 Recovery agents should be trained in soft skills offline; they need to be graduates instead of the current Class 10-pass | 8 A centralised grievance redressal mechanism needs to be set up |
| 4 Incentives and commissions should be capped | 9 The Reserve Bank of India needs to run campaigns to educate borrowers about their rights |
| 5 Data protection and privacy laws need to be enforced to avoid data leakage from smaller RAs | |

SOURCE: INDUSTRY